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Liu v. Sunnyland

International Group, et al., Case

No. 21PSCV00427

ORDER ON MOTION

FOR ATTORNEY'S FEES

Cross-Defendant/Cross-Complainant

Miao Li's Motion for Award of Attorney's Fees and Costs is GRANTED in the reduced amount of \$10,950.

Background

This is a quiet title case brought by Plaintiff

Yongyi Liu ("Plaintiff") that proceeded to bench trial in November 2025. As reflected in the Court's Final Statement of Decision After Court Trial, the core dispute in this case was whether Feng Li made a promise to purchase and transfer the property located at 636 East Boxwood Lane in Azusa, California (the "subject property") to Plaintiff Yongyi Liu ("Plaintiff"), such that the sale of the subject property by Feng Li to Defendant Sunnyland International Group ("Sunnyland") was invalid. Because Feng Li was incarcerated in China at the time of the sale, the sale was coordinated by Feng Li's daughter Miao Li. The Court's principal conclusion following the bench trial was that Plaintiff had not met her burden of proving by clear and convincing evidence "a completed equitable transfer" of the subject property from Feng Li to Plaintiff as opposed to a speculative or informal arrangement; as such, the Court entered judgment for Defendants on the complaint and concluded that the sale of the subject property to Sunnyland was valid. The conclusion that the sale was valid

dictated the outcome of Miao Li's cross-complaint, as Sunnyland conceded that assuming its ownership interest in the property was confirmed, it would pay the principal and interest owed on the promissory note to Miao Li.

Pending before the Court is Miao Li's motion for award of attorney's fees and costs. For the reasons stated herein, the Court grants the motion but only in the reduced amount of \$10,950, inasmuch as the bulk of the legal work performed in the case was devoted to challenging Plaintiff's claim to ownership and not to claims brought by or against Sunnyland. As explained in more detail herein, under the circumstances, the Court will require Sunnyland to pay only those fees directed to work on claims brought on or against Sunnyland.

Request
for Judicial Notice

The Court grants Sunnyland's request for judicial notice of Exhibit 1 (First Amended Judgment After Court Trial), Exhibit 2 (Verified Complaint for Quiet Title, Cancellation of Instrument and Declaratory relief, Exhibit 3 (Sunnyland International Group's Cross Complaint for Declaratory Relief, Quiet Title, Equitable Lien and Unjust Enrichment, Exhibit 4 (Miao Li's Cross Complaint for Declaratory Relief, Breach of Written Promissory Note, Judicial Foreclosure and Reformation, Exhibit 5 (Verified Cross Complaint for Quiet Title, Cancellation of Instrument, and Declaratory Relief, and Exhibit 6 (Cross Complaint for Declaratory Relief) pursuant to California Evidence Code Section 452(d).

Legal Standard

Civil Code § 1717(a) provides that "[i]n any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract . . . shall be entitled to reasonable attorney's fees in addition to other costs."

One of the purposes behind section 1717 is to make otherwise unilateral attorney's fees provisions reciprocal as a matter of law. (ABF Capital Corp. v. Grove Properties Co. (2005) 126 Cal.App.4th 204, 217 ["Section 1717(a) is no default provision or gapfiller, subject to override

by the parties. Rather, it represents a basic and fundamental policy choice by the state of California that nonreciprocal attorney's fees contractual provisions create reciprocal rights to such fees."].) The party seeking fees and costs "bear[s] the burden of establishing entitlement to an award and documenting the appropriate hours expended and hourly rates." (ComputerXpress, Inc. v. Jackson (2001) 93 Cal.App.4th 993, 1020.) In determining a reasonable attorney fee award, a court decides the "reasonable hours spent" on the case and multiplies the number by "the hourly prevailing rate for private attorneys in the community conducting noncontingent litigation of the same type." (Ketchum v. Moses (2001) 24 Cal.4th 1122, 1133.) The result is called the "lodestar" figure. (Id.)

Reasonable attorneys' fees

are determined by examining the time spent and the reasonable hourly rate charged. (Serrano v. Priest (1977) 20 Cal.3d 25, 48-49.) Other considerations that may result in an upward or downward shift of the fees include the novelty and difficulty of the case, the legal skill needed to render services to the prevailing party, the customary fee for similar work, whether the case was taken under contingency, the attorneys' experience and reputation, and other circumstances. (Id.)

Discussion

Entitlement to Fees

Code of Civ. Proc. § 1021 states that "[e]xcept as attorney's fees are specifically provided for by statute, the measure and mode of compensation of attorneys and counselors at law is left to the agreement, express or implied, of the parties." CCP § 1032(b) states that "a prevailing party is entitled as a matter of right to recover costs in any action or proceeding." A prevailing party under this section includes "a defendant in whose favor a dismissal is entered." (Code Civ. Proc. § 1032(a)(4).) Further, Code of Civil Procedure section 1033.5(a)(10) provides that costs can include attorney's fees when authorized by contract, statute, or law.

Civil Code § 1717(a) provides that "[i]n any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the

party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs." However, "[w]here an action has been voluntarily dismissed or dismissed pursuant to a settlement of the case, there shall be no prevailing party for purposes of this section." (Civ. Code § 1717(b)(2).)

This Court previously found that Miao Li was the prevailing party on the cross-complaint and entered judgment in Miao Li's favor against Sunnyland on Miao Li's cross-complaint for breach of a written promissory note and judicial foreclosure. (Opposition, Exhibit A.) Furthermore, Sunnyland acknowledges Miao Li is entitled to fees. (Opposition, p.6)

Attorney Fees Provision

When not authorized by statute, entitlement to attorney fees derives from the contractual terms chosen, as parties may limit or expand the circumstances under which attorney fees may be awarded. (Chacker v. JPMorgan Chase Bank, N.A. (2018) 27 Cal.App.5th 351, 357; see Rideau v. Stewart Title of California, Inc. (2015) 235 Cal.App.4th 1286, 1301 [whether a party to an agreement is entitled to attorney fees under the agreement depends on its language].) In the case of a contractual attorney fees provision, any inquiry begins with the language of the subject attorney fees provision, and thus, for attorney fees to be recovered, the claim on which the fees are incurred must fall within the scope of the attorney fee provision. (Excess Electronix v. Heger Realty Corp. (1998) 64 Cal.App.4th 698, 708; see Mountain Air Enterprises, LLC v. Sundowner Towers, LLC (2017) 3 Cal.5th 744, 752, 760 ("it is necessary to determine whether the parties entered an agreement for the payment of attorney fees, and if so, the scope of the attorney fee agreement.").)

Under the promissory note signed on April 3, 2021 by Miao Li and Sunnyland's President, Xi Lin, the second paragraph states: "if action be instituted on this note, I/We promise to pay such sum as the Court may fix as attorney's fees." (Motion, Exhibit 2.) This language establishes a binding attorney-fee provision because it expressly defines the scope as the promissory note between the parties. (Kachlon v. Markowitz (2009) 168 Cal.App.4th 316 [language in promissory note secured by deed of trust that if "action be instituted on this note" then the trustors "promise to pay such sum as the Court may fix as attorney's fees" was an attorney fee clause giving rise to reciprocal right to attorney fees].)

Therefore, there is a valid reciprocal attorney fee provision.

Calculation of the Fee Award

The party seeking fees and costs “bear[s] the burden of establishing entitlement to an award and documenting the appropriate hours expended and hourly rates.” (ComputerXpress, Inc. v. Jackson (2001) 93 Cal.App.4th 993, 1020.) In determining a reasonable attorney fee award, a court decides the “reasonable hours spent” on the case and multiplies the number by “the hourly prevailing rate for private attorneys in the community conducting noncontingent litigation of the same type.” (Ketchum v. Moses (2001) 24 Cal.4th 1122, 1133.) The result is called the “lodestar” figure. (ibid.)

Reasonable attorneys’ fees are determined by examining the time spent and the reasonable hourly rate charged. (Serrano v. Priest (1977) 20 Cal.3d 25, 48-49.) Other considerations that may result in an upward or downward shift of the fees include the novelty and difficulty of the case, the legal skill needed to render services to the prevailing party, the customary fee for similar work, whether the case was taken under contingency, the attorneys’ experience and reputation, and other circumstances. (ibid.)

1. Number of Reasonable Hours Expended

A court determining the number of hours reasonably expended on a case “must carefully review attorney documentation of hours expended.” (Ketchum, supra, 24 Cal.4th at 1132.) In doing so, the court must exclude hours that were “duplicative or excessive.” (Graciano v. Robinson Ford Sales, Inc. (2006) 144 Cal.App.4th 140, 161.) “Reasonable compensation does not include compensation for ‘padding’ in the form of inefficient or duplicative efforts.” (Donahue v. Donahue (2010) 182 Cal.App.4th 259, 271 [quoting Ketchum, supra, 24 Cal.4th at 1131–1132].)

Miao Li claims that her counsel, Mr. Sugars, spent a total of 167.5 hours working on this matter. Upon review of counsel's testimony

and the record, and considering the Court's own experience and observations, the Court finds this request excessive, particularly given the circumstances of the case. Accordingly, for the reasons stated below, the Court reduces Mr. Sugars's requested 167.5 hours to 18.25 hours.

First, as noted in the Opposition, Sunnyland stipulated to the relief Miao Li sought for her breach of written promissory note and judicial foreclosure cross-claims. However, Miao Li seeks fees for work performed on matters that were already resolved by stipulation. The Court finds that these entries inflate the hours beyond what is reasonable or reflective of the work required.

Second, the Court determines that Sunnyland should only have to reimburse Miao Li for attorney's fees for work performed that is related to claims brought by or against Sunnyland, not claims brought by Plaintiff. As the Court alluded to in the background section, the principal dispute in this case was not between Sunnyland and Miao Li but between Plaintiff and Defendants/Cross-Complainants, as Plaintiff contended that she was the equitable owner of the subject property such that Miao Li (on behalf of her father Feng Li) had no authority to sell the property to Sunnyland. Following the bench trial, the Court found that Plaintiff did not own the property and that, in any case, Sunnyland was a Bonafide purchaser for value and had no reason to believe that Feng Li did not own the property. As between Sunnyland and Miao Li, Miao Li was obviously better positioned to know of the potential dispute between her father Feng Li and Plaintiff and yet did not disclose any potential dispute to Xi Lin (Sunnyland's principal). While Sunnyland brought a cross-complaint against Plaintiff, Miao Li, and Feng Li, it did so because Miao Li was the beneficiary of the 2021 deed of trust and was thus a necessary party. Moreover, the Court finds it significant that Sunnyland always took the position that the deed of trust was valid and there was no basis to cancel it. Miao Li brought a cross complaint for breach of written promissory note and judicial foreclosure related to Sunnyland's default, but Plaintiff was still living in the subject property for the duration of the lawsuit based on her equitable claim and Sunnyland consistently took the position that so long as the deed of trust was valid, it would pay Miao Li what was owed on the promissory note. Given the nature of this dispute and the fact that Miao Li was named as a cross-defendant in Plaintiff's cross-complaint seeking to cancel/expunge Miao Li's deed of trust, it was critical for Miao Li to defend both the sale and her conduct in facilitating the sale of the subject property on behalf of her father. Having fully observed the trial and the pre-trial proceedings, the Court concludes

that the bulk of the work for which Miao Li seeks reimbursement concerned efforts to defend against Plaintiff's claims, not Sunnyland's. As such, the Court exercises its discretion to apportion fees as to claims involving Sunnyland. (*Zintel Holdings, LLC v. Mclean* (2012) 209.Cal.App.4th 431, 443) [the court has broad discretion to apportion fees].)

Sunnyland contends that the Court should only award Miao Li fees against Sunnyland for 18.25 hours of work. (Opposition, p. 10.) As part of this calculation, Sunnyland's Opposition identifies 13.65 hours of time as being specifically devoted to Sunnyland's breach of promissory note and judicial foreclosure claims (as opposed to defending against Plaintiff's equitable ownership claims).

As for the trial, having observed the entirety of the trial, the Court agrees with Sunnyland that Miao Li's counsel's efforts at trial were almost entirely focused on refuting Plaintiff's equitable ownership claim, with some very limited questioning directed at claims brought against or by Sunnyland – questioning that the Court would estimate took less than 0.5 hours. Similarly, having reviewed Miao Li's deposition transcript, the deposition was almost entirely focused on Plaintiff's equitable ownership claim, as well as events predating Sunnyland's involvement with the subject property. Under the circumstances, the Court believes Sunnyland's proposal of 18.25 hours (which exceeds the 13.65 hours Sunnyland has identified as being specifically devoted to Sunnyland's claims) is reasonable and appropriate.

In reaching this conclusion, the Court also observes that many of counsel's billing entries are block-billed. For example, the entry for October 31, 2024, combines a discussion with co-counsel Chen, review of pleadings, downloading forms, conducting legal research, and using a Mandarin interpreter into a single 3.20-hour block. Such block-billing makes it difficult for the Court to determine how much time was spent on each discrete task, and the combined total appears excessive.

Under the circumstances, the Court finds that the 18.25 hour figure recommended by Sunnyland is the reasonable amount of hours expended.

2. Hourly Rate

It is well established that “[w]hen the trial court is informed of the extent and

nature of the legal services rendered, it may rely on its own experience and knowledge in determining their reasonable value.” (In re Marriage of Huntington (1992) 10 Cal.App.4th 1513, 1524.) “In making its calculation [of a reasonable hourly rate], the court may rely on its own knowledge and familiarity with the legal market, as well as the experience, skill, and reputation of the attorney requesting fees [citation], the difficulty or complexity of the litigation to which that skill was applied [citations], and affidavits from other attorneys regarding prevailing fees in the community and rate determinations in other cases.’ [Citation.]” (Morris, supra, 41 Cal.App.5th at 41; see Mountjoy v. Bank of America, N.A. (2016) 245 Cal.App.4th 266, 272 (“[A] reasonable hourly rate is the product of a multiplicity of factors . . . the level of skill necessary, time limitations, the amount to be obtained in the litigation, the attorney’s reputation, and the undesirability of the case.”).)

Miao Li

requests that the Court set an hourly rate of \$600.00/hour for Mr. Sugars’s time, which he avers is reasonable in light of his experience. Sunnyland does not challenge the requested hourly rate. Having reviewed the record in this matter and considering Mr. Sugar’s experience and Sunnyland’s non-opposition to the hourly rate, the Court finds the requested \$600 hourly rate to be reasonable.

Interpreter

Fees

Fees of a certified or registered interpreter for the deposition of a party or witness who does not proficiently speak or understand English language is recoverable under California Civil Procedure Code 1033.5 (B).

In her moving papers, Miao Li requests that the Court award her \$1,100 in interpreter fees. The Opposition does not address this argument, and Miao Li does not reassert the request in her Reply. After carefully reviewing the evidence submitted, the Court finds that Miao Li has failed to demonstrate that the interpreter utilized was a certified or registered interpreter. In addition, Miao Li provides no legal authority supporting recovery of such fees; instead, she merely adds the \$1,100 to her total fee request. (Moving Papers, p. 8.) Accordingly, the Court declines to include the requested interpreter fees.

Conclusion

For the reasons stated above, Miao Li's motion for attorney fees is GRANTED in the reduced amount of \$10,950.